

CRNC
CRNC N/A

Hold	\$10.56 ▼ 1.95%	12M Price Target \$12.00	52-Week Range \$5.85 – \$13.74	Market Cap \$477M
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CRNC: Voice AI Underdog Slowly Finding Its Footing

WHAT'S CHANGED

- Stock is down about 2% today on roughly average volume — nothing dramatic, just drifting in the middle of its 52-week range (\$5.85 to \$13.74).
- No fresh news or SEC filings overnight. The big recent items are still last month's Q2 earnings miss and the expanded BYD partnership for AI voice features in cars.

IMPLICATIONS

CRNC is in "show me" mode — they missed earnings in May but won a bigger deal with BYD (one of the largest EV makers in the world), so the story is mixed. Today's small drop is just noise; the real catalyst will be next quarter's numbers showing whether those new AI deals translate into actual revenue. For now, the stock is stuck in a range and waiting for proof.

VALUATION

At \$477M market cap on roughly \$245M of expected revenue, you're paying about \$2 for every \$1 of sales — that's cheap compared to voice AI competitor SoundHound (SOUN), where investors pay \$30+ per \$1 of sales. The catch: Cerence isn't growing fast and isn't profitable yet. Fair value is probably \$11-13 today, with real upside to \$17+ only if they prove revenue can grow again.

KEY RISKS

- They're still losing money and revenue is barely growing — if car sales slow globally, automakers cut back on fancy voice features first.
- SoundHound and big tech (Google, Amazon, Apple CarPlay) are all gunning for the same in-car voice AI market — Cerence could get squeezed out.
- Heavy reliance on a handful of automaker customers means losing even one contract could tank the stock 20%+ overnight.

RECENT NEWS

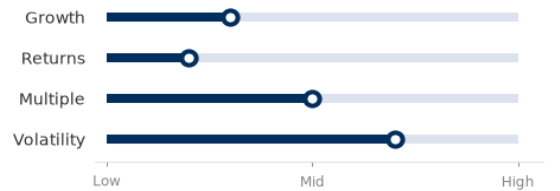
- Why SoundHound's Pipeline Growth Matters for the SOUN Stock** Zacks · 2026-05-22 14:25
- Is SoundHound Stock Still a Strong AI Play After the Q1 Selloff?** Zacks · 2026-05-13 15:10
- Cerence (CRNC) Q2 Earnings Miss Estimates** Zacks · 2026-05-08 02:25
- Cerence (CRNC) Q2 2026 Earnings Transcript** Motley Fool · 2026-05-07 22:38
- Cerence (CRNC) Expands BYD Partnership for LLM-Powered In-Car AI** Insider Monkey · 2026-05-07 14:59

OPTIONS INTELLIGENCE

Key Data

Price (USD)	\$10.56
12M Price Target	\$12.00
Upside / (Downside)	+13.6%
Market Cap	\$477M
FY2026E Revenue	\$245M
FY2027E Revenue	\$260M
FY2026E EPS	(\$0.85)
FY2027E EPS	(\$0.40)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$12.50	\$10.75	\$9.00
6 Months	\$15.00	\$11.50	\$8.00
1 Year	\$17.00	\$12.00	\$7.00
2 Years	\$20.00	\$13.50	\$6.00
5 Years	\$28.00	\$16.00	\$4.00
10 Years	\$40.00	\$20.00	\$3.00

SECTOR INTELLIGENCE

HEATING UP: Technology (+4% this week) and Industrials are leading — money is flowing back into growth and AI names.

COOLING OFF: Energy is getting hit hard (-6% this week), and Real Estate and Healthcare are weak too.

ROTATION WATCH: Money is rotating from defensive sectors back into tech and AI plays. That's a tailwind for CRNC in theory, but small-cap AI names like Cerence aren't getting the love — investors are crowding into the bigger, sexier AI stories.

RELATED PLAY: If in-car AI keeps growing, semiconductor names that supply automotive chips (NXPI, Mobileye) benefit too, often with less single-customer risk than CRNC.

OUTPERFORMERS & PEER CONTEXT

- SOUN (SoundHound AI): The market darling of voice AI — trades at a huge premium because investors love their growth story and restaurant/enterprise wins.
- MBLY (Mobileye): Automotive AI play that's been more consistent than CRNC on execution.

CRNC CONTEXT: Lagging badly. While SOUN gets all the AI hype and a 10x richer valuation, CRNC is the unloved value play in the same space — cheaper for a reason, but also potentially mispriced if they execute.

INVESTMENT STRATEGY

5/10 Conviction Score

CONVICTION: 5/10 — Decent risk/reward at these levels but I need to see actual revenue growth before getting excited.

POSITION SIZE: 1-2% of portfolio — this is a speculative turnaround, not a core holding. Small size limits damage if it breaks down.

ENTRY POINTS: I'd wait for \$9.50-10.00 on a pullback, or buy a starter position here and add on weakness. Options flow is bullish (5x more calls than puts) which is interesting but not enough to chase.

TIME HORIZON: 12-18 months — you're waiting for 2-3 quarters of proof that the BYD deal and new AI products are driving real revenue.

WHEN TO BAIL: Sell if they miss revenue again next quarter, lose a major automaker, or break below \$8 on heavy volume.

HEDGING: Short SoundHound (SOUN) against your CRNC long — if the whole voice AI space cracks, SOUN falls way harder because it's priced for perfection. This way you're betting on CRNC closing the valuation gap, not on the sector going up.